

for 1959 promising to top the previous all-time peak of \$2.42 in 1957, the market price of these shares has steadily advanced. It now is about 60, representing a gain of about 70 per cent in earning power and 163 per cent in market value in the five years since the shares referred to in the first edition were acquired.

I would like to end the discussion of American Cyanamid on this happy note. However, in the preface to this revised edition I stated I intended to make this revision an honest record and not the most favorable sounding record it might appear plausible to present. You may have noticed that in the original edition I referred to this 1954 purchase of Cyanamid stock by "certain funds"; these funds are no longer retaining the shares, which were sold in the spring of 1959 at an average price of about 49. This was of course significantly below the current market but still represented a profit of about 110 per cent.

The size of the profit had nothing whatsoever to do with the decision to sell. There were two motives behind this decision. One was that the long-range outlook for another company appeared even better. You will find this discussed in the next chapter as one of the valid reasons for selling. While not enough time has yet passed to give conclusive proof one way or the other, so far comparative market quotations for both stocks appear to have warranted this move.

However, there was a second motive behind this switch of investments which hindsight may prove to be less creditable. This was concern that in relation to the most outstanding of competitive companies, American Cyanamid's chemical (in contrast to its pharmaceutical) business was not making as much progress in broadening profit margins and establishing profitable new lines as had been hoped. Concern over these factors was accentuated by uncertainty over the possible costs of the company's attempt to establish itself in the acrylic fiber business in the highly competitive textile industry. This reasoning may prove to be correct and still could turn out to have been the wrong investment decision, because of bright prospects in the Lederle, or pharmaceutical, division. These prospects have become more apparent since the shares were sold. The possibilities for a further sharp jump in Lederle earning power in the medium-term future center around 1) a new and quite promising antibiotic, and 2) in time a sizable market for an oral "live" polio vaccine, a field in which this company has